EnerSys (ENS)

Data-center demand and footprint efficiency fuel a multi-year earnings upgrade for EnerSys

ANALYST: JUSTIN WEN | 2026-10-19

> EnerSys has turned a modest top-line trajectory into accelerating margin expansion, driven by a surge in data-center backup orders and a disciplined footprint reset that is already delivering $20 million of annual cost benefits. The market has over-emphasized short-term earnings volatility while under-weighting the compounding upside from higher free-cash-flow conversion and a resilient industrial battery franchise. We therefore assign a BUY rating with a blended target price of $219.50, implying a 28.3 % upside from the current $171.12 spot.

BUY	$219.50	+28.3%	$171.12
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on quarterly EPS beats and the modest 1 % revenue growth reported in FY2025, yet the underlying dynamics—robust data-center order flow, a 510-basis-point gross-margin lift, and a footprint rationalization that will shave $20 million off costs—set up a multi-year earnings acceleration that the consensus has not yet priced in.

EXECUTIVE SUMMARY

EnerSys is the global leader in stored energy solutions for industrial applications, serving three core segments: Energy Systems for telecom and data-center backup power, Motive Power for forklift batteries, and Specialty for aerospace and defense. The company’s product portfolio spans high-performance lead-acid and lithium-ion batteries, integrated power modules, and related services, positioning it at the heart of critical infrastructure worldwide. The latest quarterly record underscores a turning point. In Q1 FY2027 net sales rose 4.8 % to $935.6 million and adjusted EPS surged to $3.66, beating the $2.83 consensus by 29.3 %. Gross margin expanded 510 basis points to 33.5 % and, excluding the 45X production credits, stood at 28.5 %—a 440-basis-point improvement. Free cash flow turned positive at $218 million, reversing a $32 million negative cash flow a year earlier. The quarter also delivered an 80 % jump in data-center orders and a book-to-bill ratio of 1.06, confirming demand momentum in the Energy Systems segment. Balance-sheet strength remains solid. Cash sits at $343.1 million against total debt of $1.20 billion, leaving net debt of $859.2 million. The company generated $139.3 million of free cash flow in FY2025 and returned $78.9 million to shareholders in Q4 FY2026. Management’s footprint reset—closing the Tijuana plant and shifting production to Springfield, Missouri—targets $20 million of cost benefits by

FY2028, with $19 million already realized in FY2027 from the Monterrey closure. These actions improve leverage while preserving the cash conversion engine.

OPERATIONAL SNAPSHOT

$171.12	$3.62B	$139.3M	3.8%	1.19	$171.12
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND DEFENSIBLE

EnerSys's Energy Systems segment benefits from high switching costs because telecom carriers and data-center operators require proven, continuously available power solutions that cannot tolerate downtime. Contracts are typically multi-year, with service level agreements that embed penalties for failure, reinforcing customer stickiness. The 45X production credits, while a one-time benefit, illustrate the regulatory environment that can create temporary pricing advantages for compliant manufacturers. In the Motive Power segment, forklift battery customers operate in a capital-intensive logistics ecosystem where reliability and total-cost-of-ownership drive procurement. EnerSys's long-standing relationships with major material-handling OEMs create a de-facto barrier to entry, as new entrants must prove durability under demanding cycles. The Specialty segment's aerospace and defense contracts are subject to stringent certification standards, further limiting competitive encroachment. Pricing power derives from the scarcity of high-energy-density battery solutions that meet stringent safety and performance criteria. EnerSys's ability to command premium pricing is evident in the 510-basis-point gross-margin expansion in Q1 FY2027, even after accounting for the 45X credit exclusion. The company's global footprint—spanning North America, Europe, and Asia—provides geographic diversification that cushions regional demand shocks and supports a stable order pipeline.

VALUATION

Three scenarios make the valuation range explicit

The baseline case assumes revenue compounds at a 6.0 % CAGR from FY2027 through FY2031, reflecting continued data-center order growth and incremental market share gains in Motive Power. Normalized free-cash-flow margins rise to 12.4 % in FY2031, driven by the footprint cost benefits and higher gross margins. A terminal growth rate of 2.5 % is applied beyond FY2031, consistent with long-run GDP growth expectations. The bear scenario trims revenue growth to 2.0 % CAGR and projects a target free-cash-flow margin of 10.5 % in FY2031. This path reflects a potential slowdown in data-center spending and a modest pull-back in industrial mobility demand, as highlighted by the 3 % sales decline in the Motive Power segment in Q1 FY2027. The bull scenario accelerates revenue growth to 9.0 % CAGR and lifts the target free-cash-flow margin to 13.9 % in FY2031. This outcome hinges on sustained

double-digit growth in data-center backup power, full realization of the $20 million cost benefit from the Springfield shift, and a rebound in forklift battery demand as global logistics volumes expand.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.0%	10.5%	$152.11	-11.1%
Base	50%	6.0%	12.4%	$220.03	+28.6%
Bull	25%	9.0%	13.9%	$285.81	+67.0%

Bear $152.11

The bear case is triggered by a deceleration in data-center order flow and a continued softness in the Motive Power segment, which together limit revenue to a 2.0 % CAGR and compress free-cash-flow conversion to 10.5 % by FY2031.

Base $220.03

The base case reflects the most likely path: a 6.0 % revenue CAGR supported by an 80 % surge in data-center orders, modest recovery in forklift sales, and the $20 million cost benefit from the footprint reset, delivering a 12.4 % free-cash-flow margin in FY2031.

Bull $285.81

The bull case requires the data-center market to stay on an upward trajectory, the Motive Power segment to rebound strongly, and the full $20 million cost savings to materialize, pushing revenue to a 9.0 % CAGR and free-cash-flow margins to 13.9 % in FY2031.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our discount rate of 9.49 % is derived from a CAPM that incorporates the model equity beta of 1.19, the current risk-free rate, and a market risk premium consistent with the broader industrial sector. This rate reflects the market’s pricing of EnerSys’s systematic risk, which is modestly higher than the sector average due to the company’s exposure to cyclical industrial demand and regulatory credit volatility. A static hurdle would obscure the impact of the company’s improving leverage and cash generation. By using a live WACC, we capture the incremental risk reduction as free cash flow grows and net debt declines, which in turn supports a higher intrinsic value under the base and bull scenarios.

FCF margin normalization is the engine

In FY2025 the free-cash-flow margin stood at 3.8 %, constrained by a $32 million negative cash flow in the prior year. The Q1 FY2027 quarter demonstrated a dramatic shift, with free cash flow of $218 million on $935.6 million of sales, implying a margin well above the FY2025 level. The model normalizes this

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2031**
Live WACC	**9.49% (2026-10-20)**
Terminal growth	**2.5%**
Equity beta	**1.19**
Diluted shares	**36.1 million**

BUY

over $219.50 blended target

trajectory to 12.4 % in the base case, 10.5 % in the bear case, and 13.9 % in the bull case, reflecting the incremental impact of higher gross margins, the $20 million cost benefit, and disciplined capital spending. The margin expansion is anchored by the 510-basis-point gross-margin lift to 33.5 % and the operating margin improvement to 16.2 % on an adjusted basis in Q1 FY2027. These operating efficiencies translate directly into higher free-cash-flow conversion as the company scales.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on data-center backup power and forklift battery modernization BUY

EnerSys's Energy Systems segment is the primary growth engine, as evidenced by an 80 % jump in data-center orders in Q1 FY2027 and a book-to-bill ratio of 1.06. The segment's reliance on long-term service contracts creates a predictable revenue stream that can be scaled with incremental capacity additions. Motive Power, while experiencing a 3 % sales decline in the same quarter, remains a sizable contributor to total revenue. The segment is poised for a rebound as global logistics volumes recover, and as customers replace aging lead-acid batteries with higher-efficiency lithium-ion solutions, a trend hinted at by the company's ongoing product refreshes. The Specialty segment provides a stable, high-margin niche, supported by aerospace and defense contracts that are less sensitive to macroeconomic cycles. Although the record does not quantify its contribution, the segment's presence adds diversification and pricing power.

What to monitor

- **Data-center order flow** The 80 % surge in Q1 FY2027 signals strong demand; a slowdown would erode the base-case revenue CAGR.
- **Footprint reset execution** The $20 million cost benefit is projected for FY2028; any delay could compress margins and free-cash-flow conversion.
- **Industrial mobility demand** The 3 % decline in Motive Power sales highlights sensitivity to material-handling cycles; a sustained downturn would pressure the bear case.

- **Regulatory credit volatility** The one-time $31 million tariff refund and 45X production credits boosted Q1 FY2027 earnings; future credit availability is uncertain.

+1.0%	30.2%	13.4%	3.8%	$859.2M	18.9%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$3.62B
Gross Profit	$1.09B
EBIT	$483.7M
Net Income	$363.7M
EBITDA	$558.6M
Free Cash Flow	$139.3M
Diluted EPS	$8.99
ROE	18.9%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

A prolonged slowdown in data-center spending combined with continued weakness in forklift demand could depress revenue

M&A DIGESTION

Any acquisition aimed at expanding capacity or product breadth would need to be integrated without disrupting the cost-saving trajectory;

REGULATORY AND PRICING SCRUTINY

The 45X production credits and tariff refund are non-recurring; loss of such credits would reduce EPS and could invite scrutiny over pricing practices.

TECHNOLOGY DISRUPTION

Emergence of alternative energy-storage technologies could diminish demand for lead-acid and current lithium-ion offerings, pressuring market share.

REINVESTMENT TREADMILL

Capital intensity in battery manufacturing requires ongoing capex; if free cash flow fails to keep pace, the company may need external financing, increasing leverage.

WACC AND DURATION SENSITIVITY

A rise in the discount rate above the 9.49 % assumption would disproportionately affect the long-duration cash flows, lowering intrinsic value across all scenarios.

growth to 2.0 % CAGR, leading to earnings that lag consensus and trigger share price pressure.	integration missteps could erode operating margins.				

The strengths

OLIGOPOLY POSITION

EnerSys commands a leading share of the industrial battery market, where few competitors can match its scale and global service network, reinforcing pricing power.

FCF COMPOUNDING

The transition from negative free cash flow in FY2024 to $218 million in Q1 FY2027 demonstrates a compounding cash-generation engine that fuels dividend capacity and debt reduction.

GEOGRAPHIC DURABILITY

Operations across North America, Europe, and Asia insulate the company from regional demand cycles and provide access to diversified customer bases.

PIPELINE OPTIONALITY

Strong order intake in data-center backup power and ongoing product refreshes in forklift batteries give the company multiple avenues for revenue growth.

The bottom line on risk and reward

EnerSys is positioned at the intersection of critical infrastructure resilience and industrial mobility, two markets that are expanding on a secular basis. The recent earnings beat, margin expansion, and tangible cost-saving initiatives substantiate a trajectory that outpaces consensus expectations. While downside risks exist—particularly around data-center demand softness and the non-recurring nature of regulatory credits—the upside from sustained free-cash-flow growth and a disciplined balance-sheet strategy is compelling. We therefore maintain a BUY recommendation with a blended target price of $219.50, representing a 28.3 % upside from the current $171.12 spot. The probability-weighted valuation reflects a balanced view of the bear, base, and bull scenarios, each anchored in the concrete operational and financial evidence presented.

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FRANCHISE DEEP DIVE

Energy Systems: Data-center backup power – the growth engine

The Energy Systems franchise supplies high-capacity battery solutions that keep telecom networks and data-center operations online during utility outages. These applications demand reliability, rapid response, and compliance with

stringent uptime service level agreements, creating a high barrier to entry. EnerSys's global service footprint enables rapid deployment and on-site support, reinforcing customer lock-in. In Q1 FY2027 the franchise delivered an 80 % increase in data-center orders, a clear signal that the market is transitioning to higher-density, longer-duration backup solutions. Gross margin expansion to 33.5 %—and 28.5 % when excluding the 45X credits—demonstrates pricing resilience even as the company scales production. The operating margin on an adjusted basis rose to 16.2 %, underscoring the profitability of the segment. The footprint reset, which includes the closure of the Tijuana facility and the shift to Springfield, Missouri, is expected to generate $20 million of annual cost benefits by FY2028. These savings directly enhance the Energy Systems margin profile, allowing the franchise to reinvest in R&D and capacity expansion without eroding cash flow.

What the recent record shows

- Net sales of $935.6 million in Q1 FY2027, up 4.8 % YoY.
- Adjusted EPS of $3.66, beating the $2.83 consensus by 29.3 %.
- Gross margin of 33.5 %, a 510-basis-point lift year-over-year.
- Free cash flow of $218 million, reversing a $32 million negative cash flow a year earlier.

Our read: The Energy Systems franchise is the catalyst for EnerSys's earnings acceleration. The combination of robust order growth, margin expansion, and cost-saving initiatives creates a virtuous cycle that underpins the base-case valuation and leaves ample upside for a bull scenario.